

PERSONAL FINANCE & DEBT FREEDOM WORKBOOK

The Step-by-Step System to Eliminate Debt & Build Wealth

By Daniel Tesfamariam

YOUR FINANCIAL FREEDOM ROADMAP

Step 1: Know your numbers (net worth, income, expenses)

Step 2: Create a zero-based budget (every dollar has a job)

Step 3: Build \$1,000 emergency fund (starter)

Step 4: Attack debt (debt snowball or avalanche)

Step 5: Build 3-6 month emergency fund (full)

Step 6: Invest 15%+ of income (compound growth)

Step 7: Build wealth & give generously

STEP 1: KNOW YOUR NUMBERS

NET WORTH CALCULATOR:

ASSETS (what you own):

Checking account \$ _____
Savings account \$ _____
Retirement (401k/IRA) \$ _____
Home value \$ _____
Car value \$ _____
Other investments \$ _____
Other \$ _____
TOTAL ASSETS: \$ _____

DEBTS (what you owe):

Credit cards \$ _____
Student loans \$ _____
Car loan \$ _____
Mortgage \$ _____
Medical debt \$ _____
Personal loans \$ _____
Other \$ _____
TOTAL DEBTS: \$ _____

NET WORTH (Assets - Debts): \$ _____

Date: ____/____/____ (Recalculate every 3 months!)

STEP 4: DEBT ATTACK PLAN

LIST ALL DEBTS (smallest to largest for Snowball method):

#	DEBT NAME	BALANCE	MIN PAYMENT	INTEREST	PAYOFF DATE
1.	_____	\$ _____	\$ _____	____%	____/____/____
2.	_____	\$ _____	\$ _____	____%	____/____/____
3.	_____	\$ _____	\$ _____	____%	____/____/____
4.	_____	\$ _____	\$ _____	____%	____/____/____
5.	_____	\$ _____	\$ _____	____%	____/____/____
6.	_____	\$ _____	\$ _____	____%	____/____/____
7.	_____	\$ _____	\$ _____	____%	____/____/____
8.	_____	\$ _____	\$ _____	____%	____/____/____

TOTAL DEBT: \$ _____ TOTAL MIN PAYMENTS: \$ _____/month

EXTRA I can throw at debt: \$ _____/month

DEBT SNOWBALL STRATEGY:

1. Pay minimums on everything EXCEPT the smallest debt
2. Throw ALL extra money at the smallest debt
3. When smallest is gone, roll that payment into the next smallest
4. Repeat until DEBT FREE!
5. Estimated debt-free date: ____/____/____

ZERO-BASED MONTHLY BUDGET

Every dollar gets a job. Income minus ALL expenses should = \$0.

INCOME: \$ _____

GIVING (10%) \$ _____ (Tithe, charity, donations)
SAVING (10-20%) \$ _____ (Emergency fund, investments)
HOUSING (25-30%) \$ _____ (Rent/mortgage, utilities, insurance)
TRANSPORTATION (10-15%) \$ _____ (Car payment, gas, insurance, maintenance)
FOOD (10-15%) \$ _____ (Groceries, dining out)
INSURANCE (5-10%) \$ _____ (Health, life, disability)
PERSONAL (5-10%) \$ _____ (Clothing, fun, subscriptions, gym)
DEBT PAYMENTS \$ _____ (Extra debt snowball payments)

TOTAL BUDGETED: \$ _____ (should equal income!)

LEFTOVER: \$ _____ (if positive, add to debt/savings)

MONTH 1 EXPENSE TRACKER

Month: _____ Income: \$ _____

DATE	DESCRIPTION	CATEGORY	AMOUNT
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
TOTAL SPENT: \$ _____			BUDGET REMAINING: \$ _____

MONTH 2 EXPENSE TRACKER

Month: _____ Income: \$ _____

DATE	DESCRIPTION	CATEGORY	AMOUNT
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
TOTAL SPENT: \$ _____			BUDGET REMAINING: \$ _____

MONTH 3 EXPENSE TRACKER

Month: _____ Income: \$ _____

DATE	DESCRIPTION	CATEGORY	AMOUNT
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
____/____/____	_____	_____	\$ _____
TOTAL SPENT: \$ _____			BUDGET REMAINING: \$ _____

SAVINGS MILESTONES

COLOR IN OR CHECK OFF as you hit each milestone:

- ☐ \$100 saved
- ☐ \$500 saved
- ☐ \$1,000 emergency fund (STARTER - DONE!)
- ☐ \$2,500 saved
- ☐ \$5,000 saved
- ☐ \$10,000 saved (3-month emergency fund!)
- ☐ \$15,000 saved
- ☐ \$25,000 saved
- ☐ \$50,000 saved
- ☐ \$100,000 NET WORTH!

Current savings: \$ _____ Next milestone: \$ _____

By Daniel Tesfamariam | Debt is not forever. Freedom is coming.